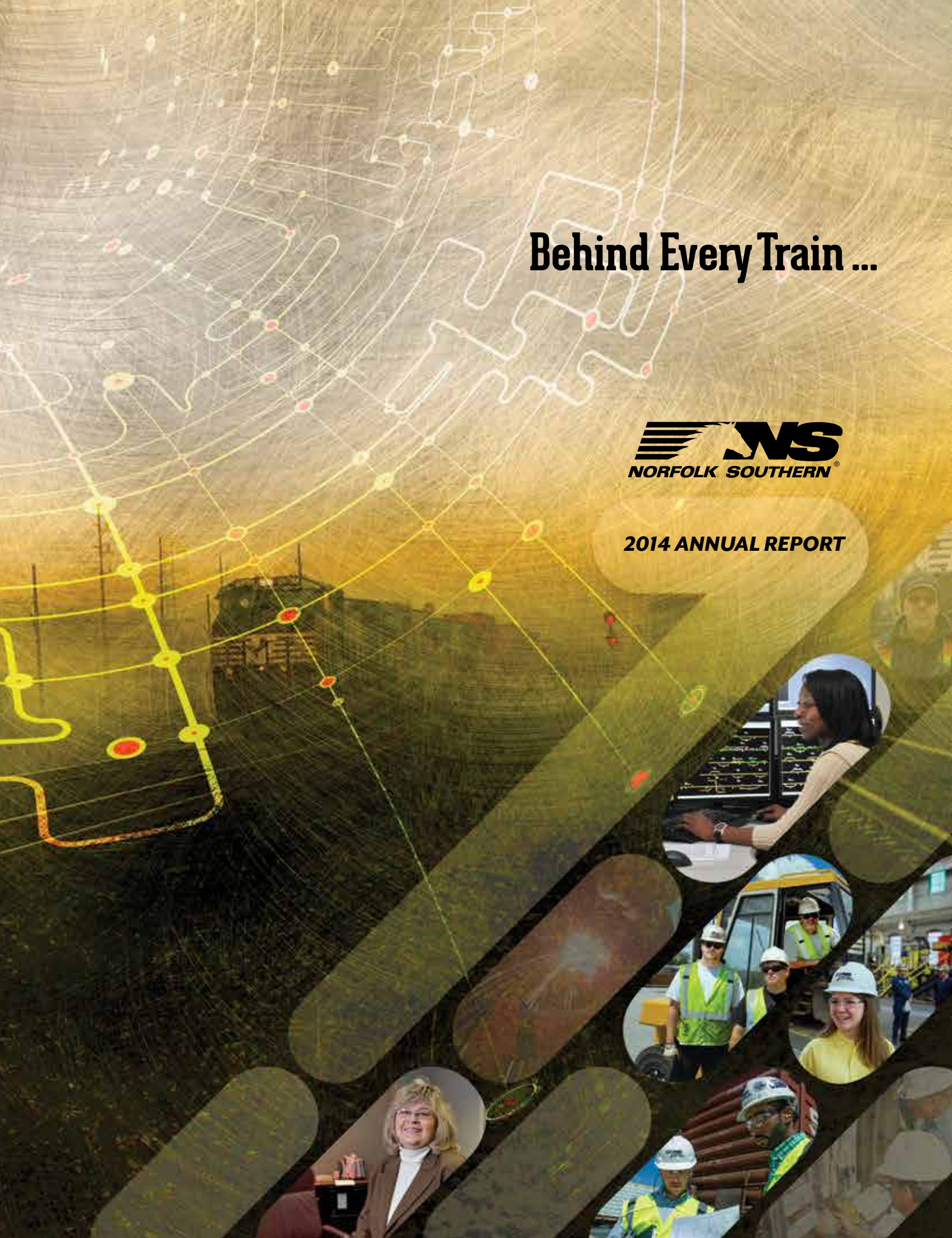


Behind Every Train ...



2014 ANNUAL REPORT



Financial Highlights

NORFOLK SOUTHERN CORPORATION & SUBSIDIARIES

DESCRIPTION OF BUSINESS

Norfolk Southern Corporation (NYSE: NSC) is one of the nation's premier transportation companies. Our Norfolk Southern Railway Company subsidiary operates approximately 20,000 route miles in 22 states and the District of Columbia, serves every major container port in the eastern United States, and provides efficient connections to other rail carriers. We operate the most extensive intermodal network in the East and are a major transporter of coal, automotive, and industrial products.

FOR THE YEAR

(numbers in millions, except per-share amounts)

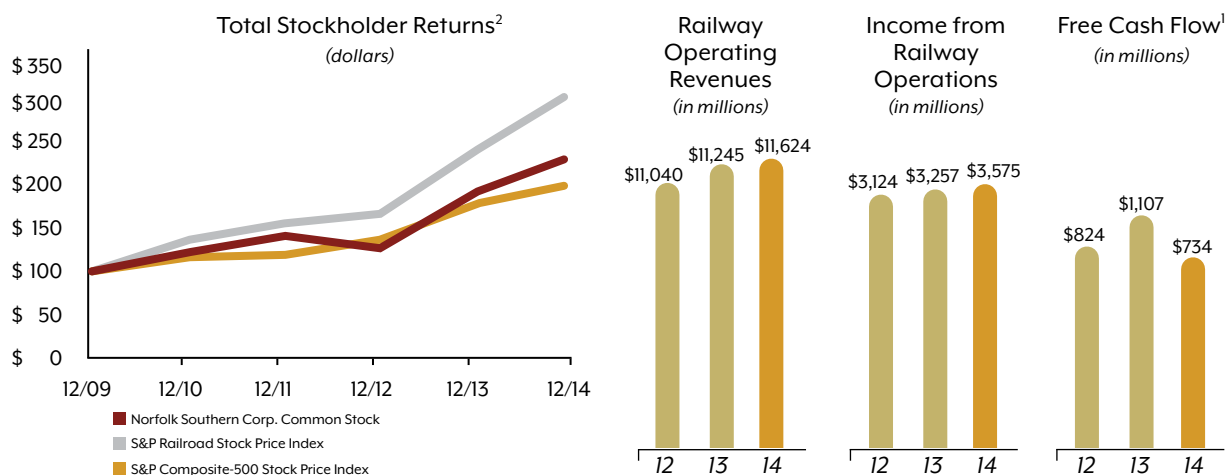
	2014	2013	2012
Railway operating revenues	\$ 11,624	\$ 11,245	\$ 11,040
Income from railway operations	\$ 3,575	\$ 3,257	\$ 3,124
Net income	\$ 2,000	\$ 1,910	\$ 1,749
Per share – basic	\$ 6.44	\$ 6.10	\$ 5.42
Per share – diluted	\$ 6.39	\$ 6.04	\$ 5.37
Dividends per share	\$ 2.22	\$ 2.04	\$ 1.94
Dividend pay-out ratio	34%	33%	36%
Cash provided by operating activities	\$ 2,852	\$ 3,078	\$ 3,065
Property additions	\$ 2,118	\$ 1,971	\$ 2,241
Free cash flow ¹	\$ 734	\$ 1,107	\$ 824

AT YEAR END

Total assets	\$ 33,241	\$ 32,483	\$ 30,342
Total debt	\$ 9,026	\$ 9,448	\$ 8,682
Stockholders' equity	\$ 12,408	\$ 11,289	\$ 9,760
Shares outstanding	308.2	308.9	314.0
Stockholders' equity per share	\$ 40.26	\$ 36.55	\$ 31.08

FINANCIAL RATIOS

Operating ratio	69.2%	71.0%	71.7%
Debt-to-total-capitalization ratio	42.1%	45.6%	47.1%



¹ Free cash flow as used here is defined as cash provided by operating activities minus property additions and is a measure of cash available for other investing activities and financing activities, including dividends and repurchases of common stock.

² This graph provides an indicator of cumulative total stockholder returns for Norfolk Southern Corporation as compared to the other identified indices. It assumes that the value of the investment in Norfolk Southern Corporation common stock and each index was \$100 on Dec. 31, 2009, and that all dividends were reinvested. Data furnished by Bloomberg Financial Markets.

Message to Stockholders

MESSAGE TO STOCKHOLDERS:

It's generally true that railroad traffic can be a barometer of economic activity, and this certainly proved to be true in 2014 as Norfolk Southern rode the wave of a resurgent U.S. economy to achieve a record year. For the first time ever, we achieved \$2 billion in net income, and at the same time set a number of other records, including total revenues, operating income, earnings per share, and our first-ever operating ratio below 70.0.

The numbers for 2014 tell the story. We achieved record revenues that increased 3 percent from 2013 to \$11.6 billion in 2014, marking our fourth consecutive \$11 billion-plus year. Income from railway operations was a record \$3.6 billion, up 10 percent from 2013, and our net income of \$2 billion also set a new financial milestone. Even as we made considerable investments to improve service and operations, our commitment to disciplined cost control was reflected in a 1 percent increase, contributing to our best-ever operating ratio of 69.2 percent.

Traffic volume was up 5 percent overall in 2014. Intermodal volume increased 8 percent, and general merchandise was up 5 percent, offset by a 5 percent decline in coal shipments.

In terms of our capital allocation priorities, we extended our longstanding dividend policy, raising the dividend on the company's common stock by 10 percent. Norfolk Southern has a record of 130 consecutive quarters of paying dividends on our common stock. In addition, we invested \$318 million in share repurchases, while continuing to invest in our infrastructure and capabilities to enhance performance and drive continued growth and value creation.

These accomplishments were all the more remarkable considering the very significant operating and service challenges that we, along with much of the industry, faced for much of the year. 2014 began with an extraordinarily severe winter that affected most of our service territory for almost three months.



OUR MANAGEMENT TEAM

(left to right top to bottom)

JIM HIXON

CINDY EARHART

DON SEALE

MARTA STEWART

MARK MANION

JIM SQUIRES

WICK MOORMAN

DEB BUTLER

It was the first time we all heard the term “polar vortex,” and the result was a dramatically slowed North American rail network with far greater resource requirements. Then, barely a week after the snows had melted, we saw our traffic surge to levels that were significantly higher than our expectations, particularly in our high-volume corridor between Chicago and New Jersey/Philadelphia. This unprecedented surge continued throughout the second and third quarters, both periods seeing an 8 percent traffic increase year-over-year. This growth, coupled with ongoing slower network velocity, created a set of ongoing challenges for our company. However, I am happy to report that the Norfolk Southern team responded with focus, innovation, and just plain hard work — all hallmarks of our company’s long-term success — putting the people, equipment, and infrastructure behind every train to ensure that our operations remained fluid and our customers’ shipments were delivered.

As business began to rise dramatically following the difficult winter, we invested significant resources to align our people, equipment, and rail capacity with the volumes we were experiencing on the network. We hired 1,344 train and engine employees during 2014 and placed into service 169 locomotives, including new, used, and rebuilt units. We also initiated several infrastructure projects in the Chicago and upper Midwest areas to add capacity and operating flexibility. As an example, we completed a major expansion of our yard at Bellevue, Ohio, which is helping to relieve congestion at other terminals and give us greater flexibility in routing trains. At Chicago, completion in 2014 of a bridge known as the Englewood flyover, which separates Norfolk Southern operations from Metra trains, has measurably improved our operations.

*Intermodal train crosses
the James River in Virginia.*



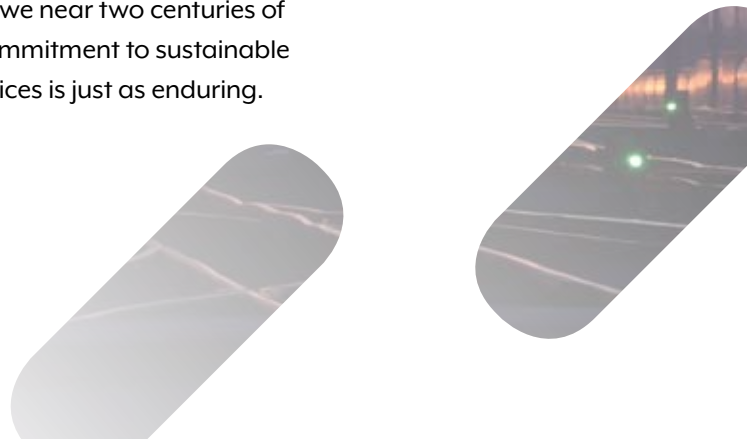


*Evening at Bellevue
Yard, Ohio*

Together with our hiring program and locomotive additions, these and other infrastructure projects — supported by a \$2.1 billion capital spending program in 2014 — demonstrated our continuing resolve to give customers the level of service they deserve and expect of Norfolk Southern. I'm pleased to report that by year-end, our network velocity was significantly improved, and that improvement will continue as 2015 progresses.

Through our partnerships with customers and communities, Norfolk Southern helped with the location of 72 new industries and the expansion of 22 existing industries on our rail lines in 2014. These industrial development activities represent a customer investment of \$5.7 billion and are expected to create 4,420 new jobs and more than 205,000 carloads of new rail traffic annually.

Throughout Norfolk Southern's 184-year history, from the earliest days of American railroading, we and our predecessor companies have worked to create close connections with our communities. We care deeply about our corporate responsibility to minimize the environmental impacts of our operations, contributing to clean, safe, and secure communities. In 2014, Norfolk Southern was recognized as a marketplace leader in carbon disclosure, successfully integrating sustainable business practices into daily operations. We also were accepted for membership in the Campbell Institute of the National Safety Council in recognition of environmental, health, and safety leadership. As we near two centuries of service, our commitment to sustainable business practices is just as enduring.





BOARD OF DIRECTORS

(left to right top to bottom)

WESLEY G. BUSH

MARTIN H. NESBITT

JOHN R. THOMPSON

JAMES A. SQUIRES

STEVEN F. LEER

ERSKINE B. BOWLES

THOMAS D. BELL, JR.

AMY E. MILES

KAREN N. HORN

ROBERT A. BRADWAY

CHARLES W. MOORMAN

DANIEL A. CARP

MICHAEL D. LOCKHART

One of the other great strengths of our company is our board of directors. Norfolk Southern is extremely fortunate to have a very talented group of individuals with a broad diversity of backgrounds, experiences, and perspectives who serve on our board, and in 2014 we elected two new members. Amy Miles of Knoxville, Tenn., is chief executive officer and a director of Regal Entertainment Group, Inc., and brings terrific management and financial skills to the board. We also elected Jim Squires, Norfolk Southern's president, to the

board. As both his colleague and friend, I can tell you that since becoming president in 2013, Jim has provided a distinctive and forward-looking perspective for our most important activities and issues, and we will benefit from his insight and leadership on the board, as well as his leadership of our company in years to come.

2014 was an outstanding year for Norfolk Southern in most respects, and it certainly demonstrated the increasing demand for our services and the growing value of freight rail transportation in the marketplace. Our strategy remains the same – operate an efficient, high-velocity railroad, which enables us to offer the best possible customer service and retain and grow business at rates that provide a superior return for our owners. As the extraordinary circumstances of 2014 showed, that's sometimes easier said than done, but our ongoing ability to execute this strategy has driven our success in the past and will do so in the future. That's for one reason and one reason only – the talents and abilities of our people. The Norfolk Southern team is made up of great people – smart, creative, and hardworking – who come to work every day with a mission to make our company, our customers' companies, and the communities we serve, better and stronger. They are there behind every train. They are the best in the business, and I am proud to be one of them.

C. W. Moorman

Board of Directors

*All directors stand for re-election annually.
Information is as of Feb. 1, 2015*



THOMAS D. BELL JR., 65, of Atlanta, Ga., is chairman of Mesa Capital Partners LLC and formerly served as chairman and chief executive officer of Cousins Properties Inc. and Young and Rubicam Inc. His board service began in 2010.
Committees:
Finance (chair), Executive, Compensation



ERSKINE B. BOWLES, 69, of Charlotte, N.C., is a senior advisor to Carousel Capital and co-chairman of the National Commission on Fiscal Responsibility and Reform. He formerly served as president of the University of North Carolina's 16-campus system and as chief of staff to President Bill Clinton. His board service began in 2011.
Committees:
Compensation, Finance



ROBERT A. BRADWAY, 52, of Thousand Oaks, Calif., is chairman and chief executive officer of Amgen. His board service began in 2011.
Committees:
Audit, Governance and Nominating

As dawn breaks, a train heads east from Chicago, a major hub of the Norfolk Southern system. This train is one of more than 100 Thoroughbred trains that move through Chicago daily.





WESLEY G. BUSH, 53, of McLean, Va., is chairman, chief executive officer and president of Northrop Grumman Corporation. His board service began in 2012.
Committees: *Compensation, Finance*



DANIEL A. CARP, 66, of Naples, Fla., is nonexecutive chairman of Delta Air Lines, Inc., and formerly served as chairman and chief executive officer of Eastman Kodak Company. His board service began in 2006.
Committees: *Compensation (chair), Executive, Governance and Nominating*



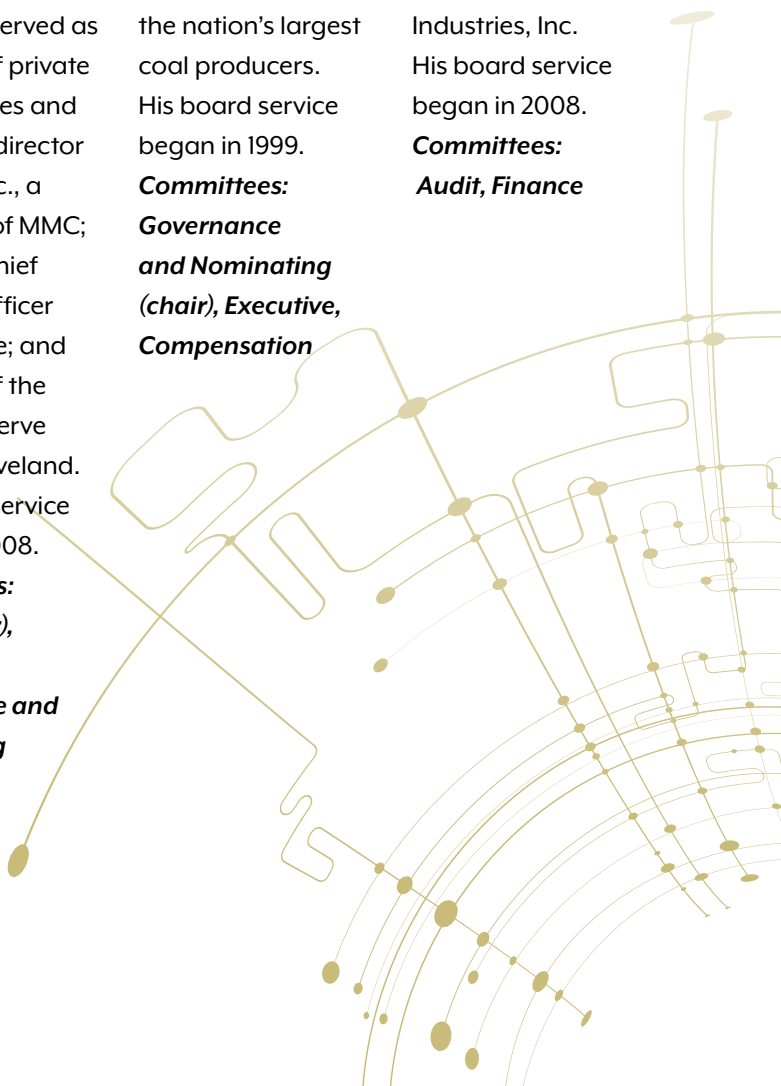
KAREN N. HORN, 71, of DeLand, Fla., is a partner with Brock Capital Group and director of the National Bureau of Economic Research. She previously served as president of private client services and managing director of Marsh Inc., a subsidiary of MMC; chair and chief executive officer of Bank One; and president of the Federal Reserve Bank of Cleveland. Her board service began in 2008.
Committees: *Audit (chair), Executive, Governance and Nominating*



STEVEN F. LEER, 62, of St. Louis, Mo., is senior advisor to the president and chief executive officer, and former executive chairman of Arch Coal, Inc., one of the nation's largest coal producers. His board service began in 1999.
Committees: *Governance and Nominating (chair), Executive, Compensation*



MICHAEL D. LOCKHART, 65, of Lancaster, Pa., is former chairman, president, and chief executive officer of Armstrong World Industries, Inc. His board service began in 2008.
Committees: *Audit, Finance*





AMY E. MILES, 48, of Knoxville, Tenn., is chief executive officer and a director of Regal Entertainment Group Inc., the largest movie theater company in the U.S. Her board service began in 2014.

Committees:
Audit, Finance



CHARLES W. MOORMAN, 62, of Virginia Beach, Va., is chairman and chief executive officer of Norfolk Southern Corporation. His board service began in 2005.

Committee:
Executive (chair)



MARTIN H. NESBITT, 52, of Chicago, Ill., is co-founder of The Vistria Group, a private equity firm. He served as managing director of Green Courte Partners LLC, a real estate investment firm, and president and chief executive officer of PRG Parking Holding LLC until 2012. His board service began in 2013.

Committees:
Audit, Finance



JAMES A. SQUIRES, 53, of Norfolk, Va., is president of Norfolk Southern Corporation. His board service began in 2014.



JOHN R. THOMPSON, 63, of Baltimore, Md., is a government relations consultant for Best Buy Co. Inc. and formerly served as senior vice president and general manager of BestBuy.com. His board service began in 2013.

Committees:
Audit, Governance and Nominating



Officers

CHARLES W. MOORMAN

Chairman and Chief Executive Officer

JAMES A. SQUIRES

President

DEBORAH H. BUTLER

Executive Vice President Planning
and Chief Information Officer

CYNTHIA C. EARHART

Executive Vice President Administration

JAMES A. HIXON

Executive Vice President Law
and Corporate Relations

MARK D. MANION

Executive Vice President
and Chief Operating Officer

DONALD W. SEALE

Executive Vice President
and Chief Marketing Officer

MARTA R. STEWART

Executive Vice President Finance
and Chief Financial Officer

CLYDE H. ALLISON JR.

Vice President Audit and Compliance

JUAN K. CUNNINGHAM

Vice President Human Resources

FREDRIC M. EHLERS

Vice President Information Technology

TERRY N. EVANS

Vice President Transportation

JOHN H. FRIEDMANN

Vice President Strategic Planning

WILLIAM A. GALANKO

Vice President Law

DONALD D. GRAAB

Vice President Mechanical

JERRY W. HALL

Vice President Network and
Service Management

JEFFREY S. HELLER

Vice President Intermodal and
Automotive Marketing

THOMAS E. HURLBUT

Vice President and Controller

DAVID F. JULIAN

Vice President Safety and Environmental

ROBERT M. KESLER JR.

Vice President Taxation

DAVID T. LAWSON

Vice President Coal

BRUNO MAESTRI

Vice President Government Relations

ROBERT E. MARTÍNEZ

Vice President Business Development

MICHAEL R. McCLELLAN

Vice President Industrial Products

ALAN H. SHAW

Vice President Intermodal Operations

SCOTT R. WEAVER

Vice President Labor Relations

THOMAS G. WERNER

Vice President and Treasurer

MICHAEL J. WHEELER

Vice President Engineering

F. BLAIR WIMBUSH

Vice President Real Estate
and Corporate Sustainability Officer

DENISE W. HUTSON

Corporate Secretary

EQUAL EMPLOYMENT OPPORTUNITY POLICY

Norfolk Southern Corporation's policy is to comply with all applicable laws, regulations, and executive orders concerning equal employment opportunity and nondiscrimination and to offer employment on the basis of qualification and performance, regardless of race, religion, color, national origin, gender, age, sexual orientation, veteran status, the presence of a disability, or any other legally protected status.

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